Transfer entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Profit and Loss A/c	Dr.		1,000	
Mar. 31	To Manager's commission A/c				1,000
	(Manager's commission A/c transferred to profit and loss A/c)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2017 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Manager's commission		1,000			
To Net profit (transferred to capital a/c)		10,000			

Balance Sheet as on 31st March, 2017

Liabilities	₹	₹	Assets	₹	₹
Manager's commission outstanding		1,000			

Illustration 1

Show necessary entries to adjust the following on 31st December, 2017.

(i) Outstanding salaries ₹1,200 (ii) Outstanding rent ₹300

(iii) Prepaid insurance premium ₹450 (iv) Interest on investments accrued ₹400

(v) Bad debts written off ₹200

Solution

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Salaries A/c	Dr.		1,200	
Dec. 31	To Outstanding salaries A/c				1,200
	(Salaries outstanding provided)				
Dec. 31	Rent A/c	Dr.		300	
	To Outstanding rent A/c				300
	(Provided for rent outstanding)				
Dec. 31	Prepaid insurance premium A/c	Dr.		450	
	To Insurance premium A/c				450
	(Insurance prepaid)				
Dec. 31	Accrued Interest on investment A/c	Dr.		400	
	To Interest on investment A/c				400
	(Provided for interest accrued)				
Dec. 31	Bad debts A/c	Dr.		200	
	To Sundry debtors A/c				200
	(Bad debts written off)				

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